

Purpose

The purpose of this quick reference guide is to step through the process of creating an AU PAYG Payee Withholding. The intended audience for this document is system administrators / standard users.

Steps

Create a new AU PAYG Payee Withholding record

The AU PAYG Payee Withholding record holds the General Information, TFN, and Tax Offset Details for a Payee.

Create an AU PAYG Payee Withholding by following the below steps:

1. Navigate to the **Payee** record.
 - a. To identify a Payee record from an Employee record, enter the Employee name into the **Global Search** (see Figure 1).
 - b. Select the **Employee** record from the suggestions provided.
 - c. Open the **Related** tab.
 - d. Identify the **Payee** related list.
 - e. Select the **Payee** record (see Figure 2).

Figure 1

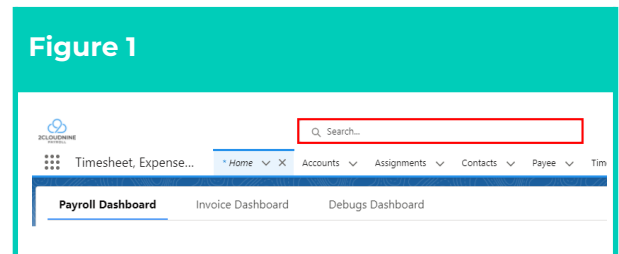
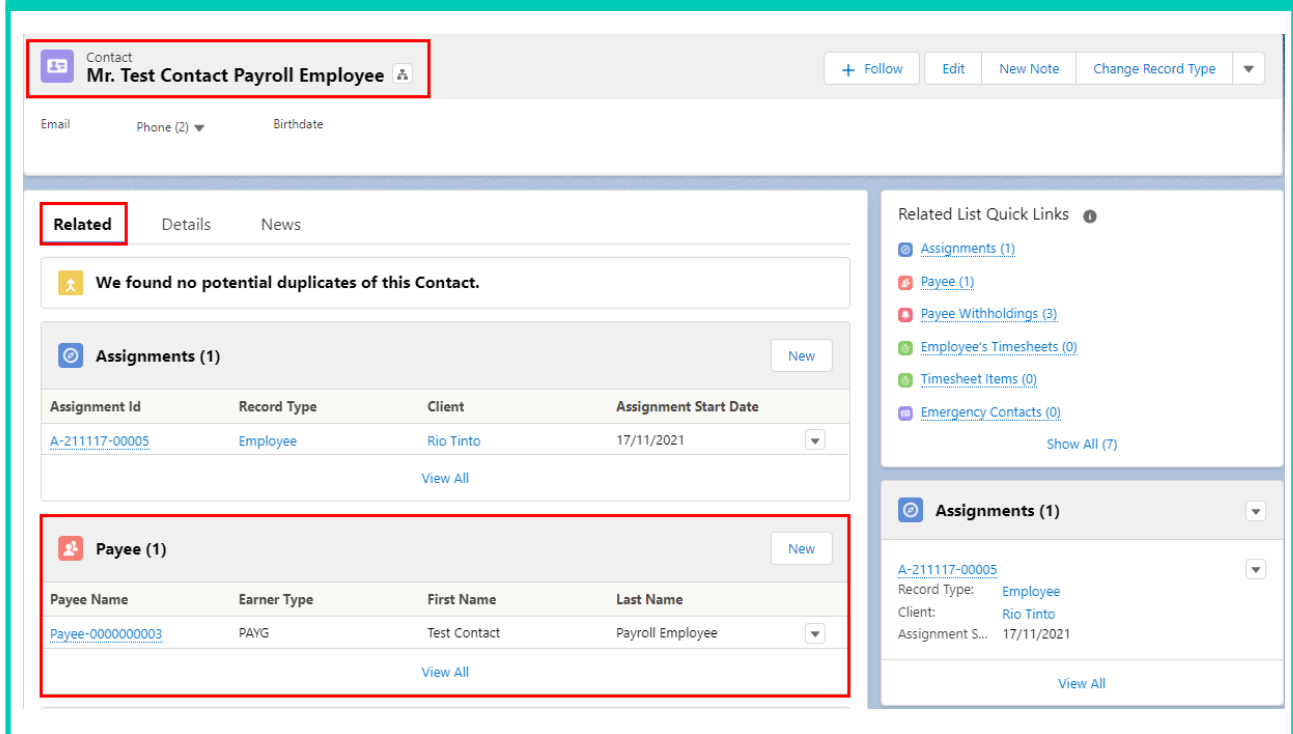
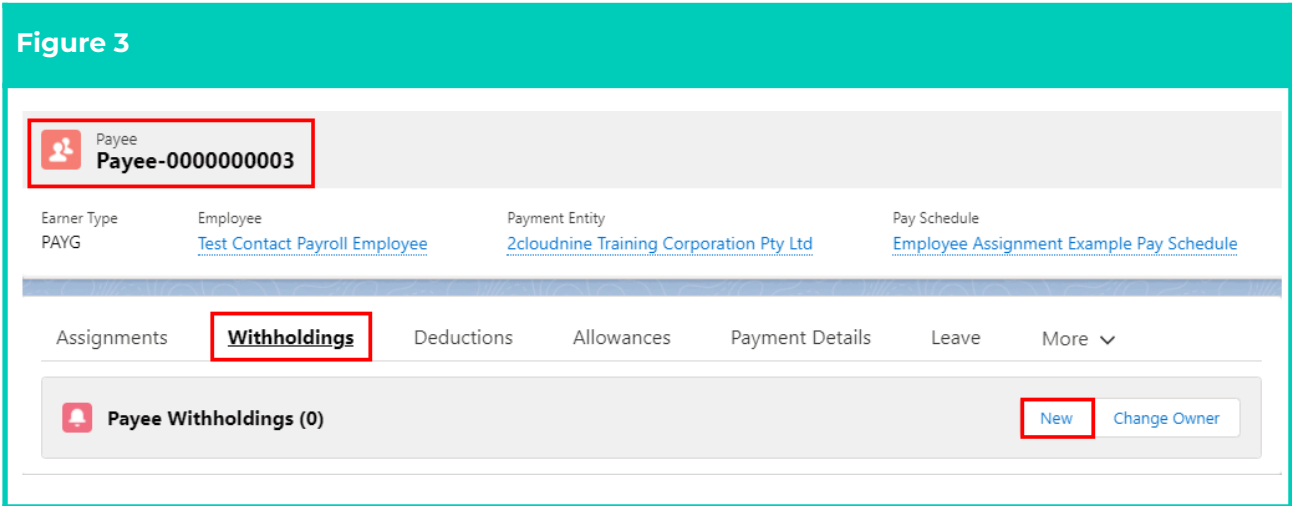


Figure 2



2. Click **Withholdings** from the tab options (see Figure 3)
3. Click **New**

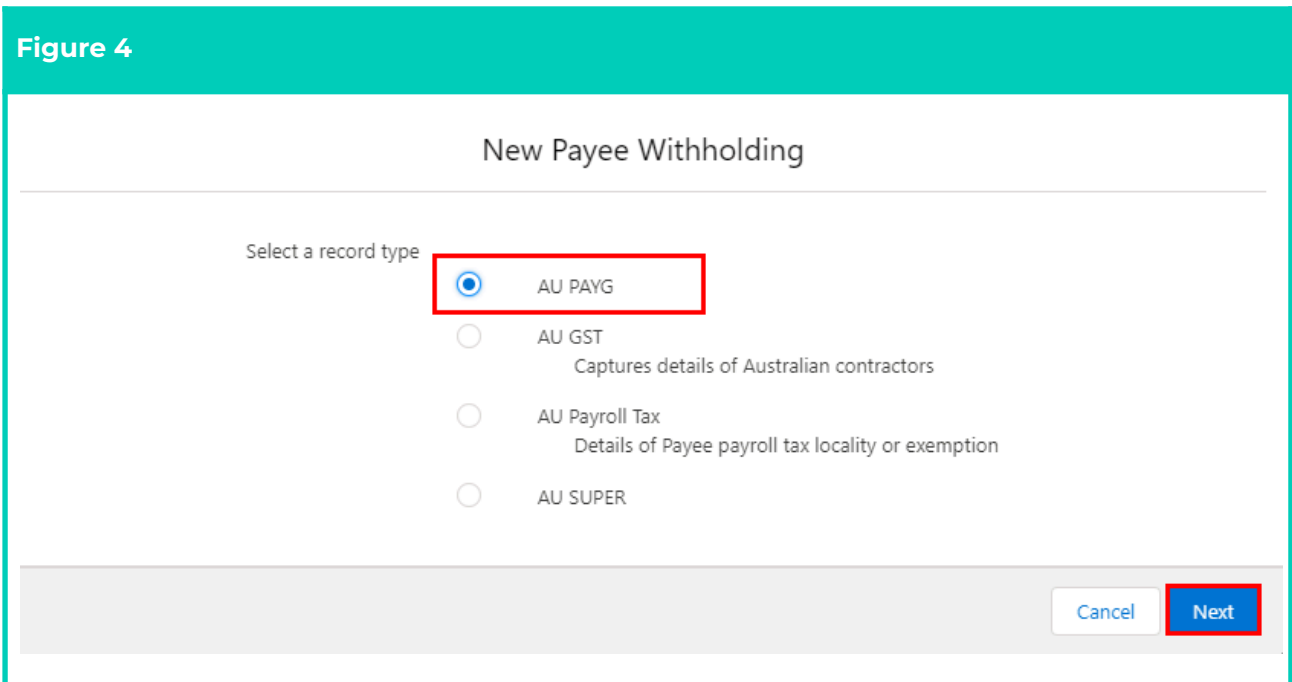
Figure 3



The screenshot shows the 'Payee' management interface. At the top, a red box highlights the 'Payee' icon and the ID 'Payee-0000000003'. Below this, a header bar contains four links: 'Earner Type PAYG', 'Employee Test Contact Payroll Employee', 'Payment Entity 2cloudnine Training Corporation Pty Ltd', and 'Pay Schedule Employee Assignment Example Pay Schedule'. A tabbed interface follows, with 'Withholdings' selected and highlighted by a red box. Other tabs include 'Assignments', 'Deductions', 'Allowances', 'Payment Details', 'Leave', and 'More'. Below the tabs, a section titled 'Payee Withholdings (0)' is shown, with a red box around the 'New' button and a 'Change Owner' link.

4. Select **AU PAYG** from the available record types and click **Next** (see Figure 4).

Figure 4



The screenshot shows the 'New Payee Withholding' form. It features a section titled 'Select a record type' with four radio button options. The first option, 'AU PAYG', is selected and highlighted by a red box. The other options are 'AU GST' (with a subtext 'Captures details of Australian contractors'), 'AU Payroll Tax' (with a subtext 'Details of Payee payroll tax locality or exemption'), and 'AU SUPER'. At the bottom right, there are two buttons: 'Cancel' and 'Next', with the 'Next' button highlighted by a red box.

5. Populate the following required fields to provide the base details of the Payee Withholding (see Figure 5):
 - a. **Employee**
 - b. **Payee**
 - c. **Effective Date**
 - d. **ATO Income Classification**
 - e. **Australian Resident**
 - f. **Claim Tax Free**
 - g. **STSL**
 - h. **Approved Working Holiday Maker**
 - i. **Basis of Payment**
 - j. **Additional Week/Fortnight**
 - k. **Medicare Levy Exemption**

6. Populate the following optional fields as needed:
 - a. If the Payee is PAYG exempt, detail the reason for the exemption in the **PAYG Exempt Reason** field.
 - b. To ensure PAYG Withholdings are recorded with the ATO against the Payee's existing TFN, populate the **Tax File Number** field. If the TFN is not available, leave this field blank and instead select from the picklist options provided in the **Reason TFN Not Provided** field.
 - c. To apply an ATO variation to PAYG Withholdings for this Payee, populate the **Tax Variation Percentage** field.
 - d. To ensure any eligible tax offsets are calculated against Payee PAYG Withholdings, select from the picklist options for the **Seniors Offset** and **Zone Offset** fields. Populate the **Zone Offset or Other Amount** field with the annual offset amount, if applicable (Figure 6).
 - e. If the Tax File Number has not been provided and the Employer is now going to apply the higher rate of PAYG, the **No TFN Apply Higher Rate** field must be populated. To action this change, Payroll Users need to create a new PAYG Payee Withholding record reflecting these changes, with the original Withholding record expiring the day prior to the Effective Date of the new record.
 - f. To set a fixed term for the Payee Withholding record, or if the details are no longer applicable and should be replaced with a new record, populate the **Expiry Date** field. If left blank, no expiry date will apply.
 - g. To prevent the Status of the Payee Withholding from being automatically updated by the automatic status update scheduled job, check the **Exclude From Auto Update** checkbox.
 - h. If the Payee is an Approved Working Holiday Maker or Inbound Assignee to Australia, or if they are a Foreign Employment Income, the field **Country of Visa/Work** needs to be populated with the relevant country from the list available.



Payroll Users are reminded again that if 28 days have expired since the original PAYG Payee Withholding has been completed, and the Employee has not provided their Tax File Number, Payroll Users need to expire the existing Payee Withholding and create a new one effective the following day, with the No TFN Apply Higher Rate field populated as Yes.

Figure 5

New Payee Withholding: AU PAYG

Information

Payee Withholding Name Employee ⓘ Test Contact Payroll Employee ↶ Payee ⓘ Payee-0000000003 ✕ Status ⓘ Pending ▼ Effective Date ⓘ 17/11/2021 ↶ Expiry Date ⓘ 📅 ATO Income Classification ⓘ Individual Non Business ↶	Owner Record Type AU PAYG AU Tax Scale ⓘ Pay Batch Event ⓘ Search Pay Batch Events... 🔍 Exclude From Auto Update ⓘ ☐ External ID ⓘ
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TFN Details

Tax File Number ⓘ 111111111 ↶ Australian Resident ⓘ Yes ▼ Claim Tax Free ⓘ Yes ▼ STSL ⓘ No ▼ Approved Working Holiday Maker ⓘ No ▼ No TFN Apply Higher Rate ⓘ No ▼ Basis of Payment ⓘ Full Time ▼	Reason TFN Not Provided ⓘ --None-- ▼ Additional Week/Fortnight ⓘ No ▼ Tax Variation Percentage ⓘ Medicare Levy Exemption ⓘ None ▼ PAYG Exempt ⓘ No ▼ PAYG Exempt Reason ⓘ Country of Visa/Work ⓘ --None-- ▼
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The Pay Batch Event field will be automatically populated upon saving the record, and should not be manually entered.



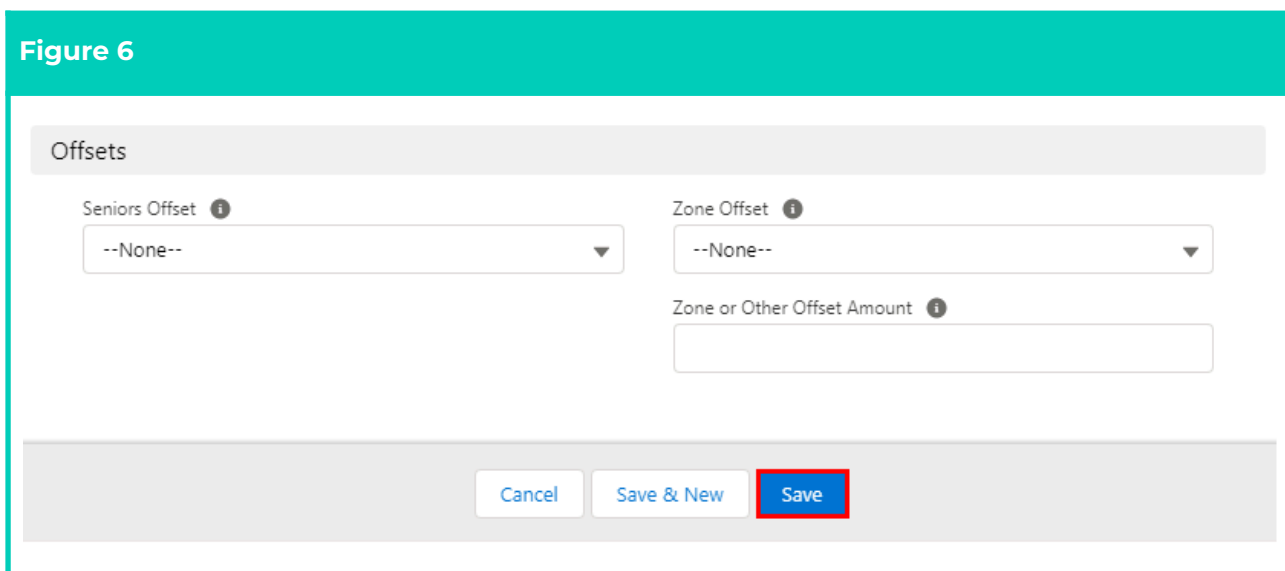
The Status of the record will be automatically updated upon saving the record, based on the Start Date and End Date (see Figure 5).



The External ID field will be automatically populated if required for system integration.

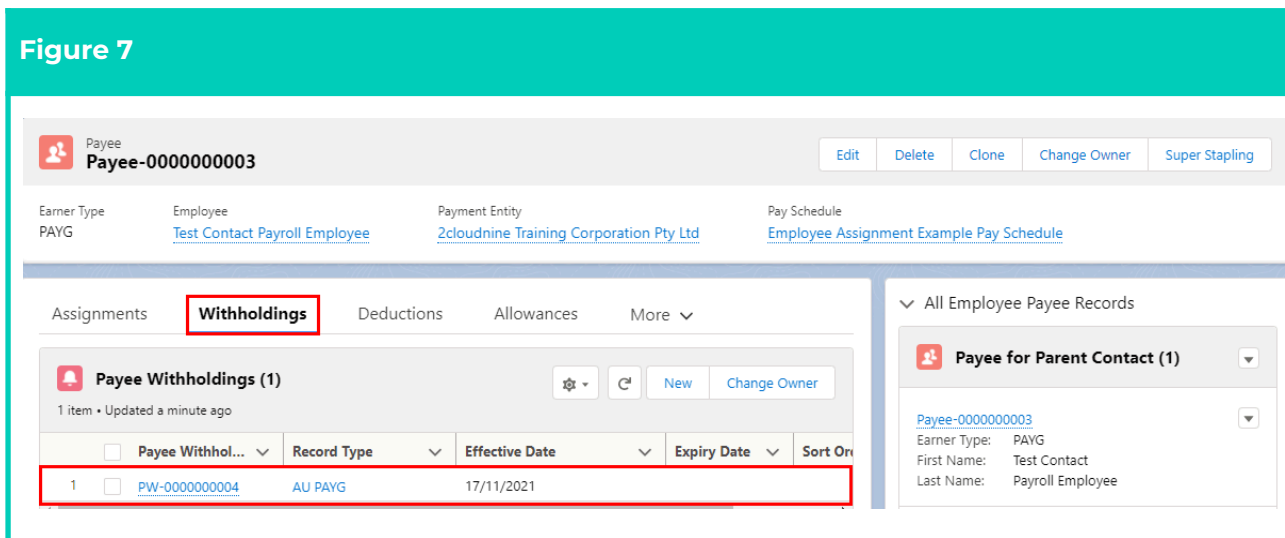
7. Click **Save**.

Figure 6



A new **AU PAYG Payee Withholding** record is now created (see Figure 7).

Figure 7





Payee Withholding records **CANNOT** be deleted if they have related records or are used in other records. Deleting records is not recommended unless absolutely essential.

8. To modify an existing **Payee Withholding** record, open the required record and select the **Edit** button available on the top right side of the page. You can also double click within fields that need editing or just click on the pencil icon  that appears within fields when hovering with your cursor.
9. When complete, click on the **Save** button.

Field Descriptions

Field Name	Description
Additional Week/Fortnight	indicates that the Payee has elected to have PAYG calculated including the additional week/fortnight, as per the ATO schedule, where there is an additional week or fortnight in the year.
Approved Working Holiday Maker	indicates whether the Payee is an Approved Working Holiday Maker working for an approved employer, and therefore will have their PAYG tax calculated as per the ATO tax table for Working Holiday Makers.
ATO Income Classification	is the associated ATO Income Classification for this PAYG withholding: • Individual Non Business • Community Development Employment Project • Exempt Foreign Employment • Voluntary Agreement • Business and Personal Services • Joint Petroleum Development Area • Foreign Employment • Other Specified • Working Holiday Maker • Not Reportable • Death Beneficiary • Non-Employee • Closely Held Payees • Inbound Assignee to Australia • Seasonal Worker Programme
Australian Resident	indicates whether the Payee is an Australian Resident for PAYG tax purposes.
Basis of Payment	is the type of arrangement between the Payment Entity and the Payee: • Full Time • Part Time • Labour Hire • Superannuation Income Stream • Casual • Voluntary Agreement • Death Beneficiary • Non-Employee
Claim Tax Free	indicates whether the Payee wishes to claim the ATO allowable tax free threshold.
Country of Visa/Work	the home country for WHM (Working Holiday Maker) and IAA (Inbound Assignees to Australia), or the country of work for FEI (Foreign Employment Income).
Effective Date	the date the Withholding will become effective. Withholdings will not be paid before this date.
Employee	the Employee record this Payee Withholding Record relates to. This must match the Employee of the Payee.
Exclude From Auto Update	when checked, the record will be skipped by the Automatic Status Update scheduled job.
Expiry Date	the date the Withholding expires. This Withholding record will be ignored for PAYG calculations after this date. If blank, no expiry date applies.

External ID	defines the ID of the corresponding record in an external system that has been used to create/update the record.
No TFN Apply Higher Rate	when 'Yes' is selected, the highest ATO tax rate will be applied based on the current tax scales.
Medicare Levy Exemption	indicates whether the Payee has provided an ATO declaration and which type of Medicare Levy Exemption is being claimed.
Payee	is the Payee record this Payee Withholding Record relates to.
PAYG Exempt	indicates that PAYG calculations will not be applied to this Payee.
PAYG Exemption Reason	is the PAYG exempt reason.
Reason TFN Not Provided	is the ATO approved reason why this Payee has not provided a tax file number: - No TFN Provided - TFN applied for but not received - Employee is under 18 - Employee has claimed an exemption from providing a TFN
Seniors Offset	indicates whether the Payee wishes to claim a Seniors offset.
STSL	indicates whether the Payee wishes to make STSL repayments to the ATO via their PAYG Withholding.
Tax File Number	is the 9 digit Tax File Number of the Payee as provided by the ATO. The previously approved standard TFN of 987654321 is no longer valid to send through STP2.
Tax Variation Percentage	to be populated when the employer has received notification from the ATO that PAYG Withholding should be calculated on a percentage basis.
Zone Offset	indicates whether the Payee wishes to claim a Zone offset.
Zone or Other Offset Amount	the amount of Zone Offset or Senior offset to apply during PAYG calculation if required.

Further Information

Document	Document Type	Description
QRG Create a Payee record	Task Instructions	How to create a Payee record
QRG Create Payee Withholdings - AU Super	Task Instructions	How to create Superannuation Payee Withholding Records
QRG Create Payee Withholdings - AU Payroll Tax	Task Instructions	How to create Payroll Tax Payee Withholding Records
QRG Create Payee Withholdings - AU GST	Task Instructions	How to create GST Payee Withholding Records

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